Bharti Hexacom Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Bharti Airtel's listed subsidiary that runs the Airtel mobile, broadband (fibre and wireless home Wi-Fi), IPTV and fixed-line business in two telecom circles: Rajasthan and the North-East (Arunachal Pradesh, Manipur, Meghalaya, Mizoram, Nagaland and Tripura). It earns monthly bills from about 29 million mobile customers.

- Market cap about Rs 80,948 cr: priced at about 40 times trailing profit, a premium price.
- Trailing twelve-month sales Rs 9,865 cr, up about 8%: steady, not fast, growth.
- Trailing net profit Rs 1,969 cr.
- Operating margin about 53%: telecom networks are high-margin once built; margin has crept up.
- Net debt to EBITDA 0.87 at Sep 2026 from 1.25 a year earlier: debt falling fast; most of it is deferred spectrum dues to the government, not bank loans.
- Return on equity about 26%: good use of shareholders' money.

2. Concall coverage

The Q2 FY27 earnings call (a joint Bharti Airtel and Bharti Hexacom webinar) was held on 6 Nov 2026, but the transcript was not yet published on Screener or NSE when this report was written; only the recording link was filed. The latest quarter below is from the 5 Nov 2026 press release. The most recent transcript read is the Q1 FY27 call (5 Aug 2026). Note: these are group calls; the Hexacom-specific part is a short section led by the group CFO.

Quarter / source	Date	Read?
Q4 FY24 to Q4 FY25 (5 calls)	May 2024 - May 2025	Yes (scanned for promises)
Q1 FY26	Aug 2025	Yes (Hexacom section)
Q2 FY26	Nov 2025	Yes (scanned)
Q3 FY26	Feb 2026	Yes (scanned)
Q4 FY26	May 2026	Yes (Hexacom section)
Q1 FY27	5 Aug 2026	Yes, Hexacom section in full
Q2 FY27	6 Nov 2026	Transcript not out; press release read

Ten transcripts since listing in 2024, about two and a half years, plus the latest press release.

Latest update highlights - Q2 FY27 (press release, 5 Nov 2026)

- Revenue Rs 2,582 cr, up 11.4% on a year ago and 2.9% on the June quarter; mobile revenue up 9.9%.
- Mobile ARPU (average monthly revenue per user) Rs 264 vs Rs 251 a year ago, from better customer mix and pricier plans; smartphone users now 80% of the base.
- Homes, office and other revenue up 49%; home customers 989K vs 561K a year ago, fibre now in 122 cities.
- EBITDA Rs 1,417 cr at a 54.9% margin; net income before one-offs up 34.4% to Rs 566 cr.
- Mobile customer count was flat on the quarter (28.97 million vs 28.98 million). Added Apple iCloud+, Apple TV and Arcade to postpaid plans.

Business mix & capacity

- Domestic vs export: fully domestic, only Rajasthan and the North-East circles.
- Capacity: not a plant business. Capex goes into 5G densification, network modernisation, fibre and home broadband; 411 towers added in the past year.

3. Earning trigger thesis

Without an industry-wide tariff hike, management says ARPU grows from customers moving from feature phones to smartphones, prepaid to postpaid, using more data and roaming. The second driver is home broadband through fibre and wireless (FWA) boxes plus IPTV, the fastest-growing line. Cost cuts under 'war on waste' have lifted margins. Management itself says long-term growth needs the industry's pricing to be repaired, which isn't in its hands.

Trigger	What management said	Evidence so far	Time horizon	Strength
Mobile ARPU mix upgrades	Smartphone, postpaid, data and roaming upgrades drive ARPU without tariff hikes (said every call since Aug 2025)	ARPU Rs 251 to Rs 264 in a year	Mid term	Moderate: steady, slow
Home broadband and IPTV	Large opportunity; fibre where possible, FWA in hard terrain	Revenue up 49%, customers up 76% in a year; FWA acquisition tightened in Q1 FY27	Ongoing	Moderate: fast growth, small base
Industry tariff repair	Pricing architecture will have to repair for long-term growth (Aug 2026)	No hike announced	Unknown	Unproven: outside its control

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	Yes	Net debt excluding leases down to about Rs 960 cr, ratio 0.2 (Aug 2026)
New business	Yes	Homes, Wi-Fi and IPTV growing fast; IPTV launched in FY26 (May 2026)
Margin up	Yes	FY26 EBITDAaL margin up 3.4 points to 47.6% on premiumisation and war on waste (May 2026)
New management	No	-
New capacity	No	-
Big orders	No	-
Turnaround	No	-
Promoter buying	No	-

Single concrete driver: Higher revenue per user from smartphone and postpaid upgrades plus fast-growing home broadband and IPTV, with cost control lifting margins.

3c. Margin bridge

EBITDA margin edged up to 54.9% from 54.2% a year ago, and margin after leases rose more, as revenue grew faster than costs through premiumisation and the war on waste cost programme. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	Home business net adds to continue	Record net adds in FY26; slowed in Q1 FY27 when FWA acquisition was tightened, then 71K added in Q2	Partly
Aug 2025	Directional increase in dividend	Dividend raised from Rs 10 to Rs 18 per share for FY26	Delivered
2025-2026	Keep growing ARPU without a tariff hike	ARPU up from Rs 246 (Q1 FY26) to Rs 264 (Q2 FY27)	Delivered
May 2026	Hexacom should not lag Airtel; new convergence offers	FY26 growth trailed Airtel's; Q2 FY27 revenue up 11.4%	Too-early
Aug 2026	FWA slowdown to unwind as acquisition policy settles	Home customers up 71K in Q2 vs 75K in Q1	Partly

The story has been the same since listing: under-penetrated circles, ARPU upgrades, homes and cost discipline, with a rising dividend. The one change was a tighter FWA acquisition policy after higher churn and costlier chips. Tone is calm and steady. The catch is that the calls are mostly about Airtel, so Hexacom-specific detail is thin.

5. Bottom line

Durable earning trigger? → MAYBE

Earnings are growing steadily on ARPU mix, home broadband and cost cuts, and it's showing in margins. But there's no step-change driver: mobile customers are flat, homes is still small against the mobile base, and management says long-term growth needs an industry tariff repair it can't control.

Management consistent? → YES

Management has said the same things for two years and mostly delivered them: ARPU up, margins up, debt down and the dividend raised as promised. The FWA slowdown was flagged and explained openly.

6. Checkpoints for next quarter

- ARPU stays above Rs 264 in the December quarter
- Home broadband customers cross one million
- Mobile customer base grows again after a flat September quarter

Sources

- Screener.in concall transcripts May 2024 - Aug 2026
- NSE filing: Q2 FY27 press release (5 Nov 2026)
- NSE filing: Q2 FY27 quarterly report (5 Nov 2026)
- Screener.in financial tables

This is not investment advice. Do your own due diligence.